QP CODE: 25901218

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER: Discipline Specific Elective (DSE)

MG4DSEECO204 – AGRICULTURAL ECONOMICS

(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

SCHEME FOR VALUATION

Part A

Multiple Choice Questions (Answer all questions, Each question carries 1 mark)

1) b) Soil degradation
2) c) last year's price
3) b) probabilities of outcome cannot be estimated
4) c) Continued dependence on food grains
5) d) Punjab
6) a) Farmer bargaining power
7) c) Improve market access
8) c) Prof. V. M. Dandekar
9) b) Ownership and control
10) c) It includes both explicit and implicit costs

Part B

Short Answer Questions (Answer any 10 questions, Each question carries 3 marks)

11)
- Study of production, consumption and distribution of agricultural products. (1 mark)
- Farm management and efficient use of resources. (1 mark)
- Agricultural marketing, pricing and role in economic development. (1 mark)

12)
- Substitution of one input with another while maintaining same output. (1 mark)
- Helps farmers choose least-cost combination of inputs. (1 mark)

- Example: labour substituted by machinery in farming
  (or any other relevant example) (1 mark)

13) • Exposure to international competition leading to price fluctuations. (1 mark)
- Dependence on global markets increases income uncertainty. (1 mark)
- Small farmers face disadvantage due to lack of technology and capital (1 mark)

or (1mark each for any three relevant points)

14) • Increase agricultural production and productivity. (1.5 marks)
- Ensure food security and self-sufficiency. (1.5 marks)

or (1.5 mark each for any two relevant objectives)

15) • Shift from traditional crops to a variety of crops for better income and sustainability. (1 mark)
- In Kerala, shift from paddy cultivation to cash crops like rubber, coconut, spices etc. (1 mark)
- Helps reduce risk and improve farm income **(or any other relevant point)** (1 mark)

16) • Advantage: Provides better price, quality and market access to farmers/consumers. **(or any other one relevant advantage)** (1.5 marks)
- Limitation: Small retailers and farmers may be displaced due to high competition **(or any other one relevant limitation)** (1.5 marks)

17) • Uncertainty in prices and weather makes farmers' production decisions difficult. (1.5 marks)
- Farmers may reduce output or shift to safer crops to avoid risk. (1.5 marks)

18) • Agricultural products are perishable and require immediate sale and storage facilities. (1.5 marks)
- Production is seasonal and depends on uncertain factors like weather. (1.5 marks)

or (1.5 mark each for any two relevant reasons)

19) • Comparative advantage: ability of a farmer to produce a commodity at lower opportunity cost compared to alternatives. (1 mark)
- Helps farmers specialize in the enterprise with lower opportunity cost. (1 mark)
- Leads to efficient resource use and higher income. (1 mark)

20) • Limits ability to purchase inputs like seeds, fertilizers and machinery. (1 mark)
- Farmers may adopt low-cost, low-yield practices. (1 mark)
- Reduces investment in modern technology and expansion. (1 mark)

21) • Comparative advantage: producing a commodity at lower opportunity cost. (1 mark)
- Helps select suitable mix of crop and livestock enterprises. (1 mark)
- Ensures efficient resource use and higher overall farm income. (1 mark)

22) • NABARD: National Bank for Agriculture and Rural Development, established in 1982. (1 mark)
- Provides credit and financial support for agriculture and rural development. (1 mark)
- Strengthens rural financial institutions and promotes rural development. (1 mark)

23) • Farm management: application of economic principles in organising and operating a farm efficiently. (1 mark)
- Deals with planning, organising and controlling farm activities. (1 mark)
- Includes resource allocation, cost control, production and marketing decisions. (1 mark)

Part C

Short Essay Questions (Answer any 5 questions, Each question carries 6 marks)

24) • Karl Marx: Agrarian question linked to transition from feudalism to capitalism and proletarianisation of peasantry. (2 marks)
- Vladimir Lenin: Emphasised differentiation of peasantry and development of capitalist relations in agriculture. (2 marks)
- Robert Brenner: Stressed role of class relations and property structures in shaping agrarian change. (2 marks)

25) • **Physical Functions**: Involve storage, transportation and processing of agricultural produce. (1 mark)
- Arrange efficient transportation of tomatoes from surplus (south) to deficit (north) regions. (2 marks)
- Use storage and cold storage facilities to reduce spoilage and stabilize supply. (1 mark)
- **Place Utility**: Shifting goods from surplus to scarcity areas to increase usefulness and value. (1 mark)
- Ensures availability in northern districts, stabilising prices and reducing wastage. (1 mark)

26) • Commercial Banks: Provide short-term and long-term loans to farmers. (1.5 marks)
- Cooperative Credit Institutions: PACS, District Central Cooperative Banks provide credit at rural level. (1.5 marks)
- Regional Rural Banks (RRBs): Supply credit to small and marginal farmers in rural areas. (1.5 marks)

- NABARD: Apex institution providing refinance and support to rural credit system. (1.5 marks)

27) • Farm level: Produce collected from farmers. (1.5 marks)
- Primary/Local market: Sale to local traders or agents. (1.5 marks)
- Secondary/Wholesale market: Bulk trading and distribution. (1.5 marks)
- Retail market: Sale to final consumers. (1.5 marks)

28) • Aquaponics: integrated system combining aquaculture (fish farming) and hydroponics (soilless crop cultivation). (2 marks)
- Fish waste provides nutrients for plants, which are absorbed by crops. (1 mark)
- Plants in turn purify and recycle water back to the fish tank. (1 mark)
- Ensures efficient use of water and resources. (1 mark)
- Suitable for sustainable and eco-friendly farming. (1 mark)

29) • Because of **Economies of scale**: large farms reduce cost per unit through bulk production. (2 marks)
- Better access to modern technology, machinery and inputs. (1 mark)
- Efficient management and specialization of farm operations. (1 mark)
- Greater access to credit, markets and infrastructure. (1 mark)
- Supported by economies of scale theory in agricultural economics. (1 mark)

or (2 marks for definition and 1 mark each for any four relevant points that validate economies of scale)

30) • Provides food supply to the growing population. (1 mark)
- Supplies raw materials to agro-based industries. (1 mark)
- Generates employment in rural areas. (1 mark)
- Contributes to national income. (1 mark)
- Supports industrial growth through demand and savings. (1 mark)
- Earns foreign exchange through agricultural exports. (1 mark)

or (1 mark each for any six relevant contributions)